

highest implied volatility quintile and shorting stocks in the lowest implied volatility quintile generates insignificant returns.”³²

Variance Risk Premia

- Bollerslev, Tauchen, and Zhou (2009): “...the difference between implied and realized variation, or the variance risk premium, is able to explain a nontrivial fraction of the time-series variation in post-1990 aggregate stock market returns, with high (low) premia predicting high (low) future returns.”³³

Market Volatility Index (VIX)

- Copeland and Copeland (1999): “Changes in the Market Volatility Index (VIX) of the Chicago Board Options Exchange are statistically significant leading indicator of daily market returns. On days that follow increases in the VIX, portfolios of large-capitalization stocks outperform portfolios of small-capitalization stocks and value-based portfolios outperform growth-based portfolios. On days following a decrease in the VIX, the opposite occur.”³⁴

Tail Risk and Asset Prices

- Kelly and Jiang (2014): “We propose a new measure of time-varying tail risk that is directly estimable from the cross-section of returns. We exploit firm-level price crashes every month to identify common fluctuations in tail risk among individual stocks. Our tail measure is significantly correlated with tail risk measures extracted from S&P 500 index options and negatively predicts real economic activity. We show that tail risk has strong predictive power for aggregate market returns.”³⁵

Comprehensive Summary of Different Predictors

Because there is such a glut of research trying to predict the stock market, some researchers have tried to combine various methodologies in an attempt to identify if there is a way to predict the market with a combination of factors.